

GLOSSARY

12b-1 Fee An annual fee charged by some mutual funds to pay for marketing and distribution activities. The fee is taken directly from fund assets, which reduces a shareholder's total return.

Active Management An investment strategy that seeks to outperform the average returns on the financial markets. Active managers rely on research, market forecasts, and their own judgment and experience in selecting securities to buy and sell.

Alternative Minimum Tax (AMT) A separate tax system designed to ensure that wealthy individuals and organizations pay at least a minimum amount of federal income taxes. Certain securities that are used to fund private, for-profit activities are subject to the AMT.

Annualize To make a figure for a period of less than a year apply to a full year, usually for purposes of comparison. For instance, a portfolio turnover rate of 36 percent over a six-month period could be converted to an annualized rate of 72 percent.

Ask Price The price at which a security is offered for sale. For a no-load mutual fund, the ask price is the same as the fund's net asset value per share. Also called *offering price*.

Automatic Reinvestment An arrangement by which the dividends or other earnings from an investment vehicle are used to buy additional shares in the investment vehicle.

Average Coupon The average interest rate (coupon rate) on all the bonds in a portfolio.

Average Effective Maturity A weighted average of the maturity dates for all securities in a money market fund or bond fund. (The maturity date is the date when the buyer of a money market instrument or a bond will be repaid by the security's issuer.) The longer the average maturity, the more a